RV College of Engineering®
Mysore Road, RV Vidyaniketan Post,
Bengaluru - 560059, Karnataka, India

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Course Code: HS251TA

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RV College of Engineering

(An Autonomous Institution Affiliated to VTU)

R V Vidyanikethan Post
Mysuru Road Bengaluru - 560 059

V Semester B.E. Regular / Supplementary Examination February/ March 2026

Common to BT / AIML / CD / CS / CY / IS

Principles of Management and Economics

Time : 3 Hours

Instructions to the students

Maximum Marks : 100

1. Answer all questions from Part A . Part A questions should be answered in first three pages of the answer book only.
2. Answer Five full questions from Part B. In Part B question number 2 is compulsory. Answer any one full question from 3 and 4, 5 and 6, 7 and 8, 9 and 10.

Part A

Question No	Question	M	CO	BT
1.1	List and briefly describe any two functions of management under POSDCORB.	02	1	1
1.2	Mention any two levels of management with suitable examples	02	2	1
1.3	What is the Purpose of organizing?	02	2	2
1.4	Differentiate between line authority and staff authority	02	2	2
1.5	Ravi works in a company with high job security and a good salary. However, he feels stuck and wants opportunities to be creative and to grow.Which need is currently motivating Ravi?	02	1	3
1.6	A CEO leads a company through major change by motivating employees with a long-term vision and encouraging innovation. Which leadership style is this and why?	02	2	3
1.7	Distinguish between real flow and money flow.	02	4	2
1.8	What is a public good?	02	2	3
1.9	State the four components of GDP using the expenditure method	02	4	2

1.10	Why do economists build the model	02	4	2

Part B

Question No	Question	M	CO	BT
2a ✓	A manufacturing company is not meeting its production targets. Explain how different levels of management can help solve the problem.	08	1	3
2b ✓	Define and explain the importance of the principle of 'Unity of Command' and 'Esprit de Corps' given by Henry Fayol.	08	4	1
3a ✓	*TechNova Solutions* is a mid-sized software development company experiencing rapid growth due to increased demand for its AI-based enterprise products. The CEO notices several emerging challenges: • Teams often duplicate similar work. • Employees are unclear about whom to report to during cross-functional projects. • Decision-making is slow because most approvals must go through senior management. • Managers complain about being overloaded with direct reports. • Some departments follow well-defined procedures, while others operate informally, causing inconsistencies. Analyze TechNova's current organizational issues and propose a redesigned organizational structure.	08	2	4
3b ✓	A new coaching institute plans to launch skill-development programs. The management wants clarity in long-term and short-term direction. Apply the concepts of strategic, tactical, and operational goals to this institute and create one example of each.	08	2	3
	OR			
4a	A start-up faces declining customer interest due to new technology introduced by competitors. Propose a strategic management plan for the start-up and justify each step.	08	2	3
4b	CityCare Hospital is a medium-sized healthcare institution with multiple departments such as Emergency, ICU, General Medicine, Radiology, and Administration. Recently, the hospital has faced several operational issues: • Nurses in the Emergency Department receive instructions from both the Chief Medical Officer and visiting specialist doctors, causing confusion. • Radiology technicians are unsure whether to follow directives from the Head of Radiology or from doctors in other departments who demand immediate reports. • Some junior doctors bypass their department heads and directly approach the hospital director for approvals.	08	2	4

	• Conflicts arise when two managers give contradictory instructions to the same staff member. • Employees feel stressed because they are not clear about who has final authority in decision-making. Using the concept of chain of command, analyze the problems CityCare Hospital is facing.			
5a	Critically evaluate Maslow's theory of motivation.	08	3	3
5b	Illustrate the five leadership styles in Blake and Mouton's Managerial Grid.	08	4	2
	OR			
6a	Explain McGregor's Theory X and Theory Y assumptions in detail	08	3	1
6b	Explain Blake and Mouton's Managerial Grid Theory of leadership.	08	2	1
7a	Explain with suitable examples how a mixed economy combines features of market and command economies. Give suitable exmaples	08	4	3
7b	Explain circular flow of economics with a neat sketch.	08	4	2
	OR			
8a	What do you understand by elasticity of demand? Explain its various importance and applications.	08	4	2
8b	What are the characteristic features of an oligopolistic industry. How does it differ from monopolistic competition?	08	4	2
9a	Explain Keynesian model of Macroeconomics and how it is different from classic model in macroeconomics.	08	1	2
9b	Critically assess the role of parliamentary discussion in budget approval.	08	1	3
	OR			
10a	Explain the functioning and importance of the Keynesian cross model.	08	4	2
10b	A major oil-importing economy faces a sudden increase in global crude oil prices by 40%. Firms' production costs increase sharply. Analyse the impact on output and price level using the AS–AD model. Suggest one policy the government can adopt.	08	4	3